IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No.305

CP(CAA)/21(AHM)2023
in
CA(CAA)/34(AHM)2023

Order under Sections 230-232 of Co. Act, 2013

IN THE MATTER OF:

Reliance Projects & Property Management Services Ltd **.....Applicant**

Order delivered on 31/07/2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)
Mr. Ajai Das Mehrotra, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of the order. The order is pronounced in the open court, vide separate sheet.

-Sd-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-Sd-

SHAMMI KHAN
MEMBER (JUDICIAL)

THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH
COURT-II

CP (CAA)/21/NCLT/AHM/2023
in
CA(CAA)/34/NCLT/AHM/2023

[Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

Scheme of Arrangement

between

Reliance Projects & Property Management Services Limited
(Petitioner Company / Demerged Company)

and

Reliance Industries Limited
(Resulting Company)

and
Their respective shareholders and creditors

Order Pronounced on : 31.07.2023

CORAM:
Mr. Shammi Khan,
Hon'ble Member (Judicial)

Mr. Ajai Das Mehrotra
Hon'ble Member (Technical)

MEMO OF PARTY

Reliance Projects & Property Management Limited
[CIN: U72501GJ2019PLC108755]

A company incorporated under the provisions of the Companies Act, 2013, having its registered office at Office-101, Saffron, Nr Centre Point, Panchwati 5 Rasta, Ambawadi, Ahmedabad, Gujarat - 380 006

... Petitioner Company
Demerged Company

For the Petitioners	:	Mr. Saurabh Soparkar, Sr. Advocate along with Mr. Ravi Pahwa, Advocate for Thakkar & Pahwa, Advocates
For the Regional Director	:	Mr. Shiv Pal Singh, Asst. Director
For the Income Tax	:	Ms. Pankti Shah, Advocate for Ms. Maithili D. Mehta, Advocate.

O R D E R

1. This Company Petition has been filed by the Petitioner Company under Sections 230 and 232 of the Companies Act, 2013 ("**Act**") read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 seeking sanction of the Scheme of Arrangement in the nature of

Demerger between M/s. Reliance Projects & Property Management Services Limited (Demerged Company) with Reliance Industries Limited (Resulting Company) and their respective shareholders and creditors ("**Scheme**").

2. An Affidavit in support of the Company Petition has been sworn by Mr. Rakesh Pandya, Authorized Signatory of the Petitioner Company/Demerged Company and the same is annexed to the Company Petition. The above-named Authorized Signatory for the Petitioner Company has been authorized vide Board Resolution dated 21.10.2022 passed by the Petitioner Company.

3. The registered office of the Resulting Company is situated in the State of Maharashtra, falls under the jurisdiction of National Company Law Tribunal, Mumbai.

4. The present Scheme provides for the demerger, transfer and vesting of the Digital EPC & Infrastructure Business (as defined in the Scheme) from the Petitioner Company to the Resulting Company, on a going concern basis in accordance with the provisions of Section 2(19AA) of the Income-tax Act 1961. This Scheme also provides for various other matters consequent and incidental thereto.

5. From the records, it is seen that the first motion application was filed before this Tribunal, being CA (CAA) 34 of 2023, which sought dispensation of the meetings of the Equity Shareholders, Sole Preference Shareholder, the Secured

Creditors, and the Unsecured Creditors of the Petitioner Company, in view of the consent affidavits of the Equity Shareholders, Sole Preference Shareholder, the Secured Creditors, and the Unsecured Creditors Petitioner Company. The aforesaid application was allowed vide order dated 19.05.2023, by issuing directions for notices to the Regulatory and Statutory Authorities, viz., the Regional Director (RD), North Western Region, the Registrar of Companies (RoC), Gujarat and the Income Tax Department. The directions issued by the aforesaid order were duly complied with by the Petitioner Company and compliance affidavit dated 23.05.2023 was duly filed with this Tribunal by the petitioner company on 24.05.2023.

6. The Petitioner Companies had filed second motion petition being CP (CAA) 21 of 2023 before this Tribunal seeking sanction of the Scheme (e-filed on 25.05.2023 and physical copy thereof was filed on 26.05.2023) which was admitted vide order dated 08.06.2023. Directions were issued to publish notice of hearing of Petition in the newspapers, "Indian Express" in English and "Sandesh" in Gujarati and to serve notice of hearing of the Petition to the Regional Director, the Registrar of Companies, the Official Liquidator and the Income Tax Department.

7. The Petitioner Company has filed a Company Application bearing Com. Appl. No.12 of 2023 on 03.07.2023 in CA No.34 of 2022 with this Tribunal seeking minor rectifications in the

order of this Tribunal dated 08.06.2023 wherein notice was issued to the Official Liquidator. However, the present Scheme provides for demerger of the Demerged Undertaking from the Demerged Company to the Resulting Company. Therefore, the Petitioner Company is not required to issue notice of final hearing of the Company Petition upon the Official Liquidator, attached to the Hon'ble High Court of Gujarat, Ministry of Corporate Affairs.

On 11.07.2023, this Tribunal has allowed the said Company Application filed by the Petitioner Company and deleted the direction regarding notice to the Official Liquidator.

8. The aforesaid directions were complied with and compliance affidavit dated 01.07.2023 has been filed with this Tribunal on 03.07.2023.

9. In response to the notice served upon the Regional Director (RD), the RD has filed representation dated 17.07.2023 on 24.07.2023, along with report from the Registrar of Companies (RoC) dated 14.06.2023. Their observations are as follows:

i) To direct the Petitioner Company to submit the present status of application / petition filed before the Hon'ble NCLT, Mumbai Bench, Maharashtra in respect of the Resulting Company.

ii) This Tribunal may be pleased to direct the Petitioner companies to pay the legal fees/cost to the Central Government which may be considered appropriate by this Tribunal.

iii) To direct the petitioner company to ensure statutory

compliance of all applicable laws and also on sanctioning of the present Scheme, the petitioner companies shall not be absolved from any of its statutory liabilities, in any manner.

iv) Necessary Stamp Duty on transfer of property / assets, if any, is to be paid to the respective Authorities before implementation of the Scheme.

v) This Tribunal may direct the company involved in the scheme to comply with the provisions of Section 232(5) of the Companies Act, 2013 with respect to filing of certified copy of order sanctioning the scheme with Registrar of Companies within 30 days from date of passing order.

10. The Petitioner Company has filed an affidavit in reply dated 20.07.2023 on 21.07.2023 in response to the observations made by the Regional Director and the Registrar of Companies. It has been submitted in response to the aforesaid observations, as follows;

i) That the petition filed before the Hon'ble National Company Law Tribunal, Mumbai Bench ("NCLT Mumbai"), the Company Scheme Petition No. C.P. (CAA)/194/MB2023 filed by the Resulting Company seeking sanction of the Scheme is listed for hearing and final disposal on 03.08.2023.

ii) The petitioner company will pay the requisite legal fees / cost to the Regional Director as per the directions issued by the Hon'ble NCLT.

iii) As far as the observation made in Paragraph 14(2) of the

ROC Report is concerned, it is stated that the Petitioner Company will continue to exist after the Scheme and hence the question of compliance with Section 239 of the Companies Act, 2013 does not arise. The Petitioner Company will continue to maintain and preserve its books of accounts, papers and records as per applicable laws.

iv) As far as the observation made in Paragraph 14(3) of the ROC Report is concerned, it is stated that the Petitioner Company is the surviving entity and it will ensure statutory compliance under applicable laws and after effectiveness of the Scheme it will not be absolved of any of its statutory liabilities in any manner and they shall be paid as per applicable laws.

v) As far as the observation made in Paragraph 14(4) of the ROC Report is concerned, it is stated that as per Clause 20 of the Scheme all costs, charges and expenses (including but not limited to, any taxes and duties, registration charges, etc.) in relation to carrying out, implementing and completing the terms and provisions of the Scheme and/or incidental to the completion of the Scheme shall be paid by the Resulting Company i.e. Reliance Industries Limited.

vi) As far as the observation made in Paragraph 14(5) of the ROC Report is concerned, it is stated that the Petitioner Company undertakes to file a certified copy of the order and the Scheme with the Registrar of Companies concerned, electronically, along with Form INC-28 within

30 days from the date of issuance of the certified copy of the order sanctioning the Scheme by this Hon'ble Tribunal as per relevant provisions of the Companies Act, 2013.

11. In response to the notice served upon the Income Tax Department, the Income Tax Officer, Ward-3(1)(1), Ahmedabad, has submitted its report dated 07.06.2023 on 15.06.2023, through its Ld. Counsel, stating that this office has no objection to the proposed Scheme of Arrangement. However, the Income Tax Department reserves its right to invoke the provisions of the Income Tax Act in any proceedings subsequent to the Demerger to bring to tax any income arising as a result of the said Scheme of Arrangement and their respective Shareholders and Creditors.

12. Further, the Income Tax Department filed its report dated 14.07.2023 on 25.07.2023, through its Ld. Counsel, wherein it has been stated that the outstanding demand of Rs.9,15,97,740/- against F.Y 2022-23 was communicated vide letter dated 08.06.2023 in case of the petitioner company. However, on further verification by Income Tax Authority the status of demand outstanding as on 14th July 2023 is only Rs.1,00,760/- for Financial Year 2022-23.

13. The petitioner company has filed its response /reply to the representation of the Income Tax Department by way of affidavit dated 22.07.2023 on 24.07.2023 stating that there is no outstanding TDS demand of the Petitioner Company as on July 21, 2023 for Q-4 for FY 2022-23 as per the TRACES

Default Summary for the said quarter. Further, there is no outstanding TDS demand as on July 21, 2023 for any financial year as per the TRACES deductor dashboard of the Petitioner Company.

Further, it is stated that the Petitioner Company will continue to exist after the Scheme and the right of the Income Tax Department to initiate or continue appropriate proceedings regarding recovery of any tax shall not be affected in view of the sanction of the Scheme and such proceedings shall be dealt in accordance with law.

14. During the hearing on 24.07.2023, Ms. Pankti Shah, Ld. Counsel for the Income Tax department appeared and stated that there is outstanding demand of Rs.1,00,000/- only as per the revised report received from the Income Tax Department and they have no objection to the approval of the Scheme.

15. During the hearing on 26.07.2023, Mr. Shiv Pal Singh, Asst. Director for Regional Director appeared and submitted that they have received reply of the Petitioner Company to their report and stated that they have no objection to the proposed scheme.

16. The Demerged Company is a wholly-owned subsidiary of the Resulting Company and no shares are proposed to be issued pursuant to the Scheme.

17. An affidavit sworn by Mr. Rakesh Pandya, Authorised Signatory of the Petitioner Company, has been filed with the Hon'ble

Tribunal stating that no investigation proceedings are pending against Petitioner Company under Sections 210 to 227 of the Act and no winding up petition are pending against the Petitioner Company.

18. In compliance with the proviso to sub-section (7) of Section 230 of the Act, the Petitioner Company has placed on record the Certificate of its Statutory Auditor, viz. Chaturvedi & Shah LLP, dated 28.04.2023, confirming that the accounting treatment envisaged under the Scheme is in compliance with the applicable accounting standards notified by the Central Government under Section 133 of the Companies Act.

19. During the hearing on 26.07.2023, Mr. Saurabh Soparkar, Ld. Sr. Counsel appearing for the Petitioner Company submitted that there is minor alteration with regards to Appointed Date i.e. 22.12.2022, given in the Scheme. Mr. Soparkar, Ld. Sr. Counsel further submitted that the said date is not workable as the quarterly accounts are made as on 31.12.2022 and requested that the Scheme may be treated as amended to this extent. A copy of the Scheme with the revised Appointed Date has been placed on record by the Petitioner Company vide its affidavit dated 19.07.2023.

20. We have heard Mr. Saurabh Soparkar, Learned Senior Counsel along with Mr. Ravi Pahwa, Ld. Advocate for M/s. Thakkar and Pahwa, Advocates for the Petitioner Company and have also gone through the records as well as the Scheme. We allow change of Appointed Date from 22.12.2022 to 31.12.2022 as

prayed. Any reference to the Scheme hereinafter shall be the modified Scheme with the appointed date of 31.12.2022.

21. On the basis of above facts and submissions made by the Ld. Sr. Counsel and by considering the approval accorded by the shareholders and creditors of the Petitioner Company to the proposed Scheme, and the no objection of the respective Regulatory and Statutory Authorities, it appears that the requirements of the provisions of Sections 230 to 232 are satisfied by the Petitioner Company. It seems that the proposed Scheme of Arrangement is bona fide and in the interest of the shareholders and creditors. Therefore, petition is allowed and the Scheme of Arrangement between M/s. Reliance Projects & Property Management Services Ltd. ("Demerged Company") with M/s. Reliance Industries Ltd. ("Resulting Company) is hereby sanctioned. It is declared that the said sanctioned Scheme shall be binding on the petitioner company and its shareholders, creditors and all concerned under the scheme.

22. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Hon'ble Tribunal to the Scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the Petitioner Company.

23. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any manner granting exemption from payment of stamp duty, or taxes

including income tax, GST etc., or any other charges or payment in accordance with law, or any kind of waiver in respect of any permission / compliance with any other requirement which may be specifically required under any law.

24. It is further clarified that Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and sanction of the Scheme of arrangement given hereunder shall not adversely affect the rights of Income Tax Department on any past, present or future proceedings.

25. The Scheme is sanctioned with following directions:

i) The Scheme as annexed herewith as "**Annexure-A**" is hereby sanctioned and it is declared that, upon the National Company Law Tribunal, Mumbai Bench sanctioning the Scheme, the same shall be binding on the Petitioner Company and its shareholders and creditors and all concerned under the Scheme.

ii) All the assets, properties, rights and powers of the Petitioner Company relating to the Demerged Undertaking (as defined in the Scheme) be transferred, without any further act or deed, to the Resulting Company pursuant to Section 232 of the Companies Act, 2013. The Schedule of Assets of the Demerged Undertaking as on the Appointed Date i.e. 31.12.2022 is given in "**Annexure-B**".

iii) The Petitioner Company i.e. Demerged Company is a wholly owned subsidiary of the Resulting Company therefore, there shall be no issue of shares as consideration under the Scheme.

iv) All proceedings, if any, now pending or initiated against the Petitioner Company relating to the Demerged Undertaking (as defined in the Scheme) be continued by or against the Resulting Company.

v) All concerned regulatory authorities to act on the copy of this order along with the Scheme authenticated by the Registrar of this Tribunal who shall issue the certified copy of this order along with the Scheme immediately.

vi) The Petitioner Company is directed to lodge a certified copy of this Order and the Scheme, duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, within 60 days from the date of the receipt of the certified copy of this Order or the receipt of the certified copy of the order of the National Company Law Tribunal, Mumbai Bench sanctioning the Scheme, whichever is later.

vii) The Petitioner Company is further directed to file a copy of this order along with the copy of the Scheme with the concerned Registrar of Companies, electronically, along

with e-form INC-28 within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant provisions of the Act.

viii) The legal fees and expenses of the office of the Regional Director is quantified at Rs.10,000/- in respect of the petitioner company. The said fees to the Regional Director shall be paid by the Petitioner Company .

ix) The Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and if it is found that the Scheme of Arrangement ultimately results in tax avoidance or is not in accordance with the applicable provisions of Income Tax Act, then the Income Tax Dept. shall be at liberty to initiate appropriate course of action as per law. Any sanction of the Scheme of Arrangement under Sections 230-232 of the Companies Act, 2013 shall not adversely affect the rights of Income Tax Department or any past, present or future proceedings and the sanction of the scheme shall not come in its way for the appropriate course of action as per law for the tax liabilities, if any.

x) Any person aggrieved shall be at liberty to apply to the Hon'ble Tribunal in the above matter for any direction that may be necessary.

26. The Company Petition CP(CAA) No. 21 of 2023 connected with CA(CAA) No. 34 of 2023 is disposed of, in terms of above order.

-Sd-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-Sd-

SHAMMI KHAN
MEMBER (JUDICIAL)

Sudha-Steno/Arati-LRA

Annexure "A"

Annexure "A"

6

SCHEME OF ARRANGEMENT

BETWEEN

RELIANCE PROJECTS & PROPERTY MANAGEMENT SERVICES LIMITED

AND

ITS SHAREHOLDERS AND CREDITORS

&

RELIANCE INDUSTRIES LIMITED

AND

ITS SHAREHOLDERS AND CREDITORS

UNDER SECTIONS 230 TO 232 AND OTHER APPLICABLE PROVISIONS OF THE COMPANIES ACT, 2013

(A) PREAMBLE

This Scheme *(as defined hereinafter)* is pursuant to the provisions of Sections 230 to 232 and other applicable provisions of the Act *(as defined hereinafter)* and provides for the demerger, transfer and vesting of the Demerged Undertaking (*as defined hereinafter*) from the Demerged Company (*as defined hereinafter*) into the Resulting Company (*as defined hereinafter*) on a *going concern* basis in accordance with the provisions of Section 2(19AA) of the Income Tax Act (*as defined hereinafter*). The Scheme also provides for various other matters consequent and incidental thereto.

(B) DESCRIPTION OF COMPANIES

1. **Reliance Projects & Property Management Services Limited** is a company incorporated under the provisions of the Act (hereinafter referred to as "**RPPMSL**" or "**Demerged Company**"). RPPMSL provides to group entities and third parties, support services including IT/ITES, manpower, engineering, procurement, project management and commissioning ("**EPC**") & related services for physical and digital infrastructure relating to digital and retail business and Infrastructure services and property management services. RPPMSL is a wholly owned subsidiary of RIL (*as defined hereinafter*).

2. **Reliance Industries Limited** is a company incorporated under the provisions of the Companies Act, 1956 (hereinafter referred to as "**RIL**" or "**Resulting Company**"). RIL *inter alia*, has multiple undertakings *viz.*, digital services, retail, financial services, advanced materials and composites, renewables (solar and hydrogen), exploration & production and oil-to-chemicals. The equity shares and non-convertible debentures of

Reliance Projects & Property Management Services Limited

Director/Authorised Signatory

7

RIL are listed on BSE Limited and National Stock Exchange of India Limited. The global depository receipts of RIL are listed on Luxembourg Stock Exchange and are traded on the International Order Book (IOB) (London Stock Exchange) and amongst qualified institutional investors on the over-the-counter (OTC) market in the United States of America. The foreign currency bonds of RIL are listed on the Singapore Exchange Limited, Luxembourg Stock Exchange and India International Exchange (IFSC) Limited.

(C) RATIONALE FOR THE SCHEME

1. The Resulting Company has decades of experience in executing some of the largest & complex projects in the world and has a strong team of ~ 4,000 engineers with proven expertise across EPC business for its oil to chemicals vertical. The Demerged Company has built capabilities in EPC and infrastructure services for the digital business. It is proposed to demerge the Demerged Undertaking *(as defined hereinafter)* from the Demerged Company to the Resulting Company to aggregate and synergize engineering capabilities and expertise of the group.

2. The Scheme will result in the following benefits:

   (a) Consolidate EPC capabilities in the Resulting Company;

   (b) To execute EPC services in a cost-efficient manner, leading to a long-term value creation; and

   (c) Pooling of resources and expertise of the Demerged Company with that of the Resulting Company.

3. The Scheme is in the interest of the Demerged Company and the Resulting Company and their respective stakeholders.

(D) PARTS OF THE SCHEME

The Scheme is divided into the following parts:

1. **PART I** deals with the definitions, share capital of the Parties (*as defined hereinafter*) and date of taking effect and implementation of this Scheme;

2. **PART II** deals with the demerger of the Demerged Undertaking from the Demerged Company into the Resulting Company on a *going concern basis*; and

3. **PART III** deals with the general terms and conditions applicable to this Scheme.

PART I

DEFINITIONS, SHARE CAPITAL OF THE PARTIES AND DATE OF TAKING EFFECT AND IMPLEMENTATION OF THIS SCHEME

1. DEFINITIONS

1.1 In this Scheme, (i) capitalised terms defined by inclusion in quotations and/ or

Signatory

parenthesis shall have the meanings so ascribed; and (ii) the following expressions shall have the meanings ascribed hereunder:

"**Act**" means the Companies Act, 2013;

"**Applicable Law**" or "**Law**" means any applicable national, foreign, provincial, local or other law including applicable provisions of all (a) constitutions, decrees, treaties, statutes, enactments, laws (including the common law), bye-laws, codes, notifications, rules, regulations, policies, guidelines, circulars, clearances, approvals, directions, directives, ordinances or orders of any Appropriate Authority, statutory authority, court, tribunal having jurisdiction over the Parties; (b) Permits; and (c) orders, decisions, writs, injunctions, judgments, awards and decrees of or agreements with any Appropriate Authority having jurisdiction over the Parties, in each case having the force of law and that is binding or applicable to a person, as may be in force from time to time;

"**Appointed Date**" means close of business hours of December 31, 2022 or such other date as may be approved by the Boards of the Parties;

"**Appropriate Authority**" means:

(a) the government of any jurisdiction (including any national, state, municipal or local government or any political or administrative sub-division thereof) and any department, ministry, agency, instrumentality, court, tribunal, central bank, commission or other authority thereof; and

(b) any governmental, quasi-governmental or private body or agency lawfully exercising or entitled to exercise, any administrative, executive, judicial, legislative, regulatory, statutory, licensing, competition, Tax, importing, exporting or other governmental or quasi-governmental authority including without limitation, the Tribunal.

"**Board**" in relation to a Party means the board of directors of such Party, and shall include a committee of directors or any person authorized by such board of directors or such committee of directors;

"**Demerged Company**" means Reliance Projects & Property Management Services Limited, a company incorporated under the provisions of the Act and having corporate identity number U72501GJ2019PLC108755 and registered office at Office-101, Saffron, Near Centre Point, Panchwati 5 Rasta, Ambawadi, Ahmedabad – 380006, Gujarat, India;

"**Demerged Undertaking**" means the Digital EPC & Infrastructure Business together with all business units, undertakings, assets, properties, investments (direct and indirect), and liabilities of whatsoever nature and kind, and wherever situated, of the Demerged Company, in relation to and pertaining to the Digital EPC & Infrastructure Business. Without prejudice to the generality of the provisions of the foregoing, the Demerged Undertaking shall include:

Reliance Projects & Property Management Services Limited

Director/Authorised Signatory

(a) all properties and assets of the Demerged Company, including all movable or immovable, freehold, leasehold or licensed, tenancy rights, hire purchase and lease arrangements, real or personal, corporeal or incorporeal or otherwise, present, future, contingent, tangible or intangible, but not limited to plant and machinery, capital work in progress, furniture, fixtures, office equipment, appliances, accessories, vehicles, all stocks, sundry debtors, deposits, provisions, advances, recoverables, receivables, title, interest, cash and bank balances, bills of exchange, covenants, all earnest monies, security deposits, or other entitlements, funds, powers, authorities, licences, registrations, quotas, allotments, consents, privileges, liberties, advantages, easements and all the rights, title, interests, goodwill, benefits, fiscal incentives, entitlement and advantages, contingent rights or benefits belonging to or in the ownership, power, possession or the control of or vested in or granted in favor of or held for the benefit of or enjoyed by the Demerged Company with respect to the Digital EPC & Infrastructure Business;

(b) Demerged Undertaking Liabilities;

(c) all contracts, agreements, schemes, arrangements and any other instruments for the purpose of carrying on the business of the Digital EPC & Infrastructure Business;

(d) all Permits, licences, approvals, registrations, quotas, incentives, powers, authorities, allotments, consents, rights, benefits, advantages, municipal permissions, pertaining to the Digital EPC & Infrastructure Business;

(e) all tax credits, refunds, reimbursements, claims, concessions, exemptions, benefits under Tax Laws including sales tax deferrals advance taxes, tax deducted/ collected at source, right to carry forward and set-off accumulated losses and unabsorbed depreciation, if any, deferred tax assets, minimum alternate tax credit, goods and service tax credit, deductions and benefits under the Income Tax Act or any other Taxation statute or Applicable Law enjoyed by the Demerged Company with respect to the Digital EPC & Infrastructure Business;

(f) entire experience, credentials, past record and market share of the Demerged Company pertaining to the Digital EPC & Infrastructure Business;

(g) all books, records, files, papers, engineering and process information, computer programs, software licenses (whether proprietary or otherwise), drawings, manuals, data, catalogues, quotations, sales and advertising materials, lists of present and former customers and suppliers, customer credit information, customer pricing information, and other records whether in physical or electronic form in connection with or relating to the Digital EPC & Infrastructure Business; and

(h) all employees (including graduate trainees) and contract workers employed in the conduct of the Digital EPC & Infrastructure Business.

Any question that may arise as to whether a specific asset (tangible or intangible) or liability or employee pertains or does not pertain to the Demerged Undertaking shall be decided mutually by the Boards of the Demerged Company and the Resulting Company;

"**Demerged Undertaking Liabilities**" means the liabilities as defined in Clause 4.7 of the Scheme;

"**Digital EPC & Infrastructure Business**" means the Demerged Company's business of designing, building and/ or maintaining the physical & digital infrastructure which includes EPC services and provision of telecommunication infrastructure, digital and other ancillary and support services along with Infrastructure services;

"**Effective Date**" means the last of the dates on which the Tribunal, sanctions the Scheme.

Reference in this Scheme to the date of "**coming into effect of this Scheme**" or "**effectiveness of this Scheme**" or "**effect of this Scheme**" or "**upon the Scheme becoming effective**" shall mean the Effective Date;

"**Income Tax Act**" means the Income-tax Act, 1961;

"**Parties**" means collectively the Demerged Company and the Resulting Company and "**Party**" shall mean each of them, individually;

"**Permits**" means all consents, licences, permits, certificates, permissions, authorisations, clarifications, approvals, clearances, confirmations, declarations, waivers, exemptions, registrations, filings, no objections, whether governmental, statutory, regulatory or otherwise as required under the Applicable Law;

"**Person**" means an individual, a partnership, a corporation, a limited liability partnership, a limited liability company, an association, a joint stock company, a trust, a joint venture, an unincorporated organization or an Appropriate Authority;

"**Remaining Undertaking**" means all the business, units, divisions, undertakings, and assets and liabilities of the Demerged Company other than the Demerged Undertaking;

"**Resulting Company**" means Reliance Industries Limited, a company incorporated under the provisions of the Companies Act, 1956 and having corporate identity number L17110MH1973PLC019786 and registered office at 3rd Floor, Maker Chamber IV, 222 Nariman Point, Mumbai – 400021, Maharashtra, India;

"**RoC**" means the relevant jurisdictional Registrar of Companies having jurisdiction over the Demerged Company and the Resulting Company, as the case may be;

"**Rs**" or "**Re**" or "**Rupee(s)**" means Indian Rupee, the lawful currency of the Republic of India;

"**Scheme**" means this scheme of arrangement as modified from time to time;

"**Tax Laws**" means all the Applicable Law dealing with Taxes including but not limited to income-tax, wealth tax, sales tax / value added tax, service tax, goods and services tax, excise duty, customs duty or any other levy of similar nature;

"**Taxation**" or "**Tax**" or "**Taxes**" means all forms of taxes and statutory, governmental, state, provincial, local governmental or municipal impositions, duties, contributions and levies, whether levied by reference to income, profits, book profits, gains, net wealth, asset values, turnover, added value, goods and services or otherwise and shall further include payments in respect of or on account of Tax, whether by way of deduction at source, collection at source, dividend distribution tax, advance tax, minimum alternate tax, goods and services tax or otherwise or attributable directly or primarily to any of the Parties and all penalties, charges, costs and interest relating thereto; and

"**Tribunal**" means the relevant bench of the National Company Law Tribunal having jurisdiction over the Demerged Company and the Resulting Company, as the case may be.

1.2 In this Scheme, unless the context otherwise requires:

1.2.1 words denoting the singular shall include the plural and *vice versa*;

1.2.2 headings, sub-headings, titles, sub-titles to clauses, sub-clauses and paragraphs are for information and convenience only and shall be ignored in construing the Scheme;

1.2.3 all terms and words not defined in this Scheme shall unless repugnant or contrary to the context or meaning thereof, have the same meaning as prescribed to them under the Act, Income Tax Act, or any other Applicable Law, rules, regulations, bye laws, as the case may be including any statutory modification or re-enactment thereof from time to time; and

1.2.4 reference to any law or legislation or regulation shall include amendment(s), circulars, notifications, clarifications or supplement(s) to, or replacement, re-enactment, restatement or amendment of, that law or legislation or regulation and shall include the rules and regulations thereunder.

2. SHARE CAPITAL

2.1 The share capital of the Demerged Company as on October 21, 2022 is as follows:

Particulars	Rs.
Authorised share capital	
10,00,20,000 equity shares of Rs 10 each	100,02,00,000
1005,90,00,000 preference shares of Rs 10 each	10059,00,00,000
Total	**10159,02,00,000**

Reliance Projects & Property Management Services Limited

Director/Authorised Signatory

Particulars	Rs.
Issued, subscribed and paid-up capital	
10,00,00,000 equity shares of Rs 10 each fully paid	100,00,00,000
979,52,40,000 – 0.01% non-cumulative optionally convertible preference shares of Rs 10 each	9795,24,00,000
Total	**9895,24,00,000**

2.2 The share capital of the Resulting Company as on October 21, 2022 is as follows:

Particulars	Rs.
Authorised share capital	
1400,00,00,000 equity shares of Rs 10 each	14000,00,00,000
100,00,00,000 preference shares of Rs 10 each	1000,00,00,000
Total	**15000,00,00,000**
Issued and subscribed share capital	
676,59,94,014 equity shares of Rs 10 each	6765,99,40,140
Total	**6765,99,40,140**
Paid-up share capital	
676,53,73,111 equity shares of Rs 10 each fully paid-up	6765,37,31,110
3,41,236 equity shares of Rs 10 each (Rs 2.5 paid-up)	853,090
2,79,667 equity shares of Rs 10 each (Rs 5 paid-up)	13,98,335
Total	**6765,59,82,535**

The Resulting Company has outstanding employee stock options under its existing stock option scheme, the exercise of which may result in an increase in the issued, subscribed and paid-up share capital the Resulting Company. Further, payment of call money by the shareholders holding partly paid equity shares will result in increase in paid up share capital of the Resulting Company.

3. DATE OF TAKING EFFECT AND IMPLEMENTATION OF THIS SCHEME

This Scheme in its present form or with any modification(s) made as per Clause 18 of this Scheme, shall become effective from the Appointed Date but shall be operative from the Effective Date.

B

PART II

DEMERGER OF THE DEMERGED UNDERTAKING FROM THE DEMERGED COMPANY TO THE RESULTING COMPANY AND OTHER RELATED MATTERS

4. DEMERGER AND VESTING OF THE DEMERGED UNDERTAKING

4.1 Upon coming into effect of the Scheme, with effect from the Appointed Date and in accordance with the provisions of this Scheme and pursuant to Sections 230 to 232 and other applicable provisions of the Act and Section 2(19AA) of the Income Tax Act, all assets, Permits, contracts, liabilities, loan, duties and obligations of the Demerged Undertaking shall, without any further act, instrument or deed, stand transferred to and vested in or be deemed to have been transferred to and vested in the Resulting Company on a going concern basis, so as to become as and from the Appointed Date, the assets, Permits, contracts, liabilities, loan, duties and obligations of the Resulting Company by virtue of operation of law, and in the manner provided for in this Scheme.

The demerger proposed under the Scheme complies with the definition of "demerger" under Section 2 (19AA) and other provisions of the Income Tax Act. If any terms of this Scheme are found to be or interpreted to be inconsistent with the provisions of the Income Tax Act, then this Scheme shall be modified by the Board to be in compliance with Section 2 (19AA) of the Income Tax Act.

4.2 In respect of such of the assets and properties forming part of the Demerged Undertaking which are movable in nature (including but not limited to all intangible assets) or are otherwise capable of transfer by delivery or possession or by endorsement, the same shall stand transferred by the Demerged Company to the Resulting Company upon coming into effect of this Scheme and shall, *ipso facto* and without any other or further order to this effect, become the assets and properties of the Resulting Company without requiring any deed or instrument of conveyance for transfer of the same. The transfer pursuant to this sub-clause shall be deemed to have occurred by physical or constructive delivery or by endorsement and delivery or recordal, pursuant to this Scheme, as appropriate to the property being transferred, and title to the property shall be deemed to have been transferred accordingly.

4.3 With respect to the moveable assets of the Demerged Undertaking other than those referred to in Clause 4.2 above, including all rights, titles and interests in the agreements (including agreements for lease or license of the properties), investments in shares, mutual funds, bonds and any other securities, sundry debtors, claims from customers or otherwise, outstanding loans and advances, if any, recoverable in cash or in kind or for value to be received, bank balances and deposits, if any, with any Appropriate Authority, customers and other Persons, whether or not the same is held in the name of the Demerged Company, the same shall, without any further act, instrument or deed, be transferred to and/or be deemed to be transferred to the Resulting Company, with effect from the Appointed Date by operation of law as transmission in favour of the Resulting Company. With regard to the licenses of the properties, the Resulting Company will enter into novation agreements, if it is so required.

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4.4 In respect of such of the assets and properties forming part of the Demerged Undertaking which are immovable in nature, whether or not included in the books of the Demerged Company, including rights, interests and easements in relation thereto, the same shall stand transferred to the Resulting Company with effect from the Appointed Date, without any act or deed or conveyance being required to be done or executed by the Demerged Company and/or the Resulting Company.

4.5 For the avoidance of doubt and without prejudice to the generality of Clause 4.4 above and Clause 4.6 below, it is clarified that, with respect to the immovable properties comprised in the Demerged Undertaking in the nature of land and buildings, the Demerged Company and the Resulting Company shall register the true copy of the order of the Tribunal approving this Scheme with the offices of the relevant Sub-registrar of Assurances or similar registering authority having jurisdiction over the location of such immovable property and shall also execute and register, as required, such other documents as may be necessary in this regard. For the avoidance of doubt, it is clarified that any document executed pursuant to this Clause 4.5 or Clause 4.6 below will be for the limited purpose of meeting regulatory requirements and shall not be deemed to be a document under which the transfer of any part of the Demerged Undertaking takes place and the Demerged Undertaking shall be transferred solely pursuant to and in terms of this Scheme and the order of the Tribunal sanctioning this Scheme.

4.6 Notwithstanding anything contained in this Scheme, with respect to the immovable properties comprised in the Demerged Undertaking in the nature of land and buildings situated in states other than the state of Maharashtra and Gujarat, whether owned or leased, for the purpose of, *inter alia*, payment of stamp duty and transfer to the Resulting Company, if the Resulting Company so decides, the Demerged Company and the Resulting Company, may execute and register or cause to be executed and registered, separate deeds of conveyance or deeds of assignment of lease, as the case may be, in favour of the Resulting Company in respect of such immovable properties. Each of the immovable properties, only for the purposes of the payment of stamp duty (if required under the Applicable Law), shall be deemed to be conveyed at a value determined by the relevant authorities in accordance with the applicable circle rates. The transfer of such immovable properties shall form an integral part of this Scheme.

4.7 Upon effectiveness of the Scheme, all debts, liabilities, loans, obligations and duties of the Demerged Company as on the Appointed Date and relatable to the Demerged Undertaking ("**Demerged Undertaking Liabilities**") shall, without any further act or deed, be and stand transferred to and be deemed to be transferred to the Resulting Company. The term "Demerged Undertaking Liabilities" shall include:

4.7.1 the debts, liabilities obligations incurred and duties of any kind, nature or description (including contingent liabilities) which arise out of the activities or operations of the Demerged Undertaking;

4.7.2 the specific loans or borrowings (including, notes and other debt securities raised, incurred and utilized solely for the activities or operations of the Demerged Undertaking); and

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4.7.3 in cases other than those referred to in Clauses 4.7.1 or 4.7.2 above, so much of the amounts of general or multipurpose borrowings, if any, of the Demerged Company, as stand in the same proportion which the value of the assets transferred pursuant to the demerger of the Demerged Undertaking bear to the total value of the assets of the Demerged Company immediately prior to the Appointed Date.

However, Tax liabilities and Tax demands or refunds received or to be received by the Demerged Company for a period prior to the Appointed Date in relation to the Demerged Undertaking shall not be transferred as part of the Demerged Undertaking to the Resulting Company.

4.8 Post the Effective Date, the Demerged Company may, at the request of the Resulting Company, give notice in such form as it may deem fit and proper, to such Persons, as the case may be, that any debt, receivable, bill, credit, loan, advance, or deposit, contracts or policies relating to the Demerged Undertaking stands transferred to the Resulting Company and that appropriate modification should be made in their respective books/records to reflect the aforesaid changes.

4.9 In so far as encumbrances, if any, in respect of the Demerged Undertaking Liabilities, such encumbrance shall, without any further act, instrument or deed being required to be taken or modified, be extended to and shall operate only over the assets comprised in the Demerged Undertaking which have been encumbered in respect of the Demerged Undertaking Liabilities as transferred to the Resulting Company pursuant to this Scheme. Further, in so far as the assets comprised in the Demerged Undertaking are concerned, the encumbrance over such assets relating to any loans, liabilities, borrowings or other debts which are not transferred to the Resulting Company pursuant to this Scheme and which continue with the Demerged Company shall without any further act, instrument or deed be released from such encumbrance and shall no longer be available as security in relation to such liabilities. The Demerged Company shall provide such other security that may be agreed between the Demerged Company and the respective lenders having the encumbrance. In so far as the assets comprising the Remaining Business are concerned, the encumbrance, if any, over such assets pertaining to the Demerged Undertaking Liabilities is concerned, shall without any further act, instrument or deed being required, be released and the discharged from the encumbrances relating to the same. The Resulting Company may provide such other security that may be agreed between the Resulting Company and the respective lenders having the encumbrance. The absence of any formal amendment which may be required by a lender or trustee or third party shall not affect the operation of the above.

4.10 Subject to Clause 4 and any other provisions of this Scheme, in respect of any refund, benefit, incentive, grant or subsidy in relation to or in connection with the Demerged Undertaking, the Demerged Company shall, if so required by the Resulting Company, issue notices in such form as the Resulting Company may deem fit and proper, stating that pursuant to the Tribunal having sanctioned this Scheme, the relevant refund, benefit, incentive, grant or subsidy be paid or made good to or held on account of the Resulting Company, as the Person entitled thereto, to the end and intent that the right

of the Demerged Company to recover or realise the same stands transferred to the Resulting Company and that appropriate entries should be passed in their respective books to record the aforesaid changes.

4.11 On and from the Effective Date, all cheques and other negotiable instruments and payment orders received or presented for encashment which are in the name of the Demerged Company and are in relation to or in connection with the Demerged Undertaking, shall be accepted by the bankers of the Resulting Company and credited to the account of the Resulting Company, if presented by the Resulting Company.

4.12 Permits, including the benefits attached thereto of the Demerged Company, in relation to the Demerged Undertaking, shall be transferred to the Resulting Company from the Appointed Date, without any further act, instrument or deed and shall be appropriately mutated or endorsed by the Appropriate Authorities concerned therewith in favour of the Resulting Company as if the same were originally given by, issued to or executed in favour of the Resulting Company and the Resulting Company shall be bound by the terms, obligations and duties thereunder, and the rights and benefits under the same shall be available to the Demerged Company to carry on the operations of the Demerged Undertaking without any hindrance, whatsoever.

4.13 Contracts in relation to the Demerged Undertaking, where the Demerged Company is a party, shall stand transferred to the Resulting Company pursuant to the Scheme becoming effective. The absence of any formal amendment which may be required by a third party to effect such transfer shall not affect the operation of the foregoing sentence. The Demerged Company and the Resulting Company shall, wherever necessary, enter into and/or execute deeds, writings, confirmations or novations to all such contracts, if necessary, in order to give formal effect to the provisions of this Clause.

4.14 Without prejudice to the provisions of the foregoing sub-clauses of this Clause 4 and upon the effectiveness of this Scheme, the Demerged Company and the Resulting Company may execute any and all instruments or documents and do all acts, deeds and things as may be required, including executing necessary confirmatory deeds for filing with the trademark registry and Appropriate Authorities, filing of necessary particulars and/ or modification(s) of charge with the concerned RoC or filing of necessary applications, notices, intimations or letters with any Appropriate Authority or Person to give effect to this Scheme. The Demerged Company shall take such actions as may be necessary to get the assets pertaining to the Demerged Undertaking transferred to and registered, in the name of the Resulting Company, as per the Applicable Law.

4.15 For the purpose of giving effect to the order passed under Sections 230 to 232 and other applicable provisions of the Act, in respect of this Scheme by the Tribunal, the Resulting Company shall, at any time pursuant to the orders approving this Scheme, be entitled to get the recordal of the change in the legal right(s) upon the demerger of the Demerged Undertaking from the Demerged Company to the Resulting Company, in accordance with the provisions of Sections 230 to 232 of the Act. The Resulting Company, in relation to the Demerged Undertaking is and shall always be

deemed to have been authorized to execute any pleadings, applications, forms, etc, as may be required to remove any difficulties and facilitate and carry out any formalities or compliances as are necessary for the implementation of this Scheme. For the purpose of giving effect to the vesting order passed under Section 232 of the Act in respect of this Scheme, the Resulting Company shall be entitled to exercise all rights and privileges and be liable to pay all Taxes and charges and fulfil all obligations in relation to or applicable to all immovable properties including mutation and/or substitution of the ownership or the title to or interest in the immovable properties which shall be made and duly recorded by the Appropriate Authorities in favour of the Resulting Company pursuant to the sanction of this Scheme by the Tribunal and upon the effectiveness of this Scheme in accordance with the terms hereof, without any further act or deed to be done or executed by the Resulting Company. It is clarified that the Resulting Company shall be entitled to engage in such correspondence and make such representations, as may be necessary, for the purposes of the aforesaid mutation and/or substitution.

5. EMPLOYEES

5.1 With effect from the Effective Date, all employees of the Demerged Company engaged in or in relation to the Demerged Undertaking shall become the employees of the Resulting Company on terms and conditions no less favourable than those on which they are engaged by the Demerged Company and without any interruption in service.

5.2 The accumulated balances, if any, standing to the credit in favour of the aforesaid employees in the existing provident fund, gratuity fund, superannuation fund and any other fund of which they are members, as the case may be, will be transferred to the respective funds of the Resulting Company set-up in accordance with the Applicable Law and caused to be recognized by the Appropriate Authorities or to the funds nominated by the Resulting Company. Pending the transfer as aforesaid, the dues of the said employees would continue to be deposited in the existing provident fund, gratuity fund, superannuation fund and other fund respectively of the Demerged Company.

6. LEGAL PROCEEDINGS

6.1 Upon coming into effect of this Scheme, all demands, claims, show cause notices, suits, actions, administrative proceedings, tribunals proceedings, legal and other dispute resolution proceedings of whatsoever nature (except proceedings under the Income Tax Act) by or against the Demerged Company pending on the Effective Date relating to the Demerged Undertaking shall not abate or be discontinued or be in any way prejudicially affected by reason of this Scheme or by anything contained in this Scheme but shall be continued and be enforced by or against the Resulting Company with effect from the Effective Date in the same manner and to the same extent as would or might have been continued and enforced by or against the Demerged Company. The Resulting Company shall be substituted in place of the Demerged Company or added as party to such proceedings and shall prosecute or defend all such proceedings at its own cost, in cooperation with the Demerged Company and the liability of the Demerged Company shall stand nullified. The Demerged Company shall

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in no event be responsible or liable in relation to any such legal or other proceedings in relation to the Demerged Undertaking.

6.2 The Resulting Company undertakes to have all legal and other proceedings (except proceedings under the Income Tax Act) initiated by or against the Demerged Company referred to in Clause 6.1 above transferred to its name as soon as is reasonably practicable after the Effective Date and to have the same continued, prosecuted and enforced by or against the Resulting Company to the exclusion of the Demerged Company on priority. Both the Parties shall make relevant applications and take all steps as may be required in this regard.

6.3 Notwithstanding anything contained hereinabove, if at any time after the Effective Date, the Demerged Company is in receipt of any demand, claim, notice and/ or is impleaded as a party in any proceedings before any Appropriate Authority (except proceedings under the Income Tax Act), in each case in relation to the Demerged Undertaking, the Demerged Company shall, in view of the transfer and vesting of the Demerged Undertaking pursuant to this Scheme, take all such steps in the proceedings before the Appropriate Authority to replace the Demerged Company with the Resulting Company. However, if the Demerged Company is unable to get the Resulting Company replaced in its place in such proceedings, the Demerged Company shall defend the same or deal with such demand in accordance with the advice of the Resulting Company and at the cost of the Resulting Company and the latter shall reimburse to the Demerged Company all liabilities and obligations incurred by the Demerged Company in respect thereof.

7. CONSIDERATION

The Demerged Company is a wholly owned subsidiary of the Resulting Company and therefore there shall be no issue of shares as consideration for the transfer and vesting of the Demerged Undertaking from the Demerged Company into the Resulting Company.

8. ACCOUNTING TREATMENT

The Demerged Company and the Resulting Company shall comply with generally accepted accounting principles in India, provisions of the Act and accounting standards as notified by the Companies (Indian Accounting Standards) Rules, 2015 as amended from time to time, in relation to the transactions in the Scheme including but not limited to the following:

8.1 <u>In the books of the Demerged Company</u>

With effect from the Appointed Date and upon Part II of the Scheme coming into effect, the Demerged Company shall account for the demerger in its books of account in the following manner:

8.1.1 The Demerged Company shall de-recognize the carrying values of (i) assets; (ii) liabilities; and (iii) reserves/ retained earnings of the Demerged Undertaking, to the extent identified and being transferred to the Resulting Company

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pursuant to this Scheme in accordance with the de-recognition related stipulations contained in the relevant Indian Accounting Standards; and

8.1.2 The net amount so de-recognized shall be adjusted to the following accounts sequentially, (i) securities premium account; and (ii) preference share capital account.

8.2 In the books of the Resulting Company

With effect from the Appointed Date and upon the Scheme coming into effect, the Resulting Company shall account for the demerger in its books of account in the following manner:

8.2.1 The Resulting Company shall record all assets, liabilities and reserves/retained earnings, if any, of the Demerged Undertaking to the extent identified and transferred to it in pursuance of this Scheme at their respective book values appearing in the books of the Demerged Company;

8.2.2 The difference, if any, between (A) the book value of (i) assets, (ii) liabilities and (iii) reserves/retained earnings, if any, to be recorded in the books of the Resulting Company and (B) the amount to be adjusted to investment held by the Resulting Company in the Demerged Company pursuant to the reduction in (i) securities premium account; and (ii) preference share capital account by the Demerged Company, under clause 9.1 of the Scheme, shall be adjusted in the capital reserve;

8.2.3 If the accounting policies adopted by the Resulting Company are different from those adopted by the Demerged Company, the assets, liabilities and reserves/retained earnings of the Demerged Undertaking shall be accounted in the books of the Resulting Company adopting uniform accounting policies consistent with the Companies (Indian Accounting Standards) Rules, 2015; and

8.2.4 Any change effected in the book value of the assets, liabilities and reserves/retained earnings of the Demerged Undertaking pursuant to clause 8.2.3 above, shall be adjusted in the capital reserve account in the books of the Resulting Company with appropriate disclosures as required under Indian Accounting Standard – 8 "Accounting Policies, Changes in Accounting Estimates and Errors".

9. ANCILLARY PROVISIONS

9.1 Pursuant to various clauses in this Scheme, the Demerged Company may be required to adjust (i) securities premium account; and (ii) preference share capital account. After adjusting the securities premium account, the balance amount shall be rounded down to the nearest multiple of ten and such amount shall be adjusted against the preference share capital account of the Demerged Company. Upon such adjustment, the preference shares of the Demerged Company representing the amount adjusted shall be cancelled in the order of their issuance. After adjustment to the securities premium account and preference share capital account in accordance with this clause,

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any remaining debit amount shall be adjusted in the capital reserve of the Demerged Company. Prior to giving effect of Clause 8, debit balance, if any, in the retained earnings of the Demerged Undertaking shall be adjusted against the balance in the capital reserve of the Demerged Undertaking, to the extent available.

9.2 The amount so adjusted to the securities premium account, preference share capital account and/or capital reserve account shall result in reduction of share capital of the Demerged Company and the same shall be effected pursuant to Sections 230 to 232 of the Act and as an integral part of the Scheme.

9.3 It is clarified that the approval of the members of the Demerged Company to this Scheme, shall be deemed to be their consent/ approval for the reduction of the share capital of the Demerged Company under applicable provisions of the Act.

9.4 Notwithstanding the reduction in the share capital of the Demerged Company, the Demerged Company shall not be required to add 'And Reduced' as suffix to its name.

10. VALIDITY OF EXISTING RESOLUTIONS, ETC.

10.1 Upon the coming into effect of this Scheme, the resolutions/ power of attorney executed by the Demerged Company in relation to the Demerged Undertaking, as the case may be, as considered necessary by the Board of the Demerged Company in relation to the Demerged Undertaking that are valid and subsisting on the Effective Date, shall continue to be valid and subsisting and be considered as resolutions and power of attorney passed/ executed by the Resulting Company and if any such resolutions have any monetary limits approved under the provisions of the Act, or any other applicable statutory provisions, then said limits as are considered necessary by the Board of the Demerged Company shall be added to the limits, if any, under like resolutions passed by the Resulting Company, and shall constitute the aggregate of the said limits in the Resulting Company.

10.2 In terms of Regulation 23 read with Regulation 2(1)(zc) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("**LODR Regulations**"), the Resulting Company has taken approval of its shareholders for the related party transaction(s) (as defined in LODR Regulations) between the Demerged Company and its related parties with respect to the business of the Demerged Undertaking. Upon effectiveness of the Scheme, the Resulting Company will step into the shoes of the Demerged Company with respect to such related party transaction(s) and shall become party on the same terms and conditions. As an integral part of this Scheme, the approval of the shareholders of the Resulting Company for such related party transaction(s) shall be deemed to be the approval, for the Resulting Company to be party to such related party transaction(s) on and with effect from the Appointed Date.

11. REMAINING BUSINESS OF THE DEMERGED COMPANY

11.1 The Remaining Undertaking shall continue to belong to and be owned and managed by the Demerged Company. The Demerged Company shall continue to be liable to perform and discharge all its liabilities and obligations in relation to the Remaining

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Undertaking and the Resulting Company shall not have any liability or obligation in relation to the Remaining Undertaking.

11.2 If the Resulting Company is in receipt of any demand, claim, notice and/or is impleaded as a party in any proceedings before any Appropriate Authority, in each case in relation to the Remaining Undertaking, the Resulting Company shall take all such steps in the proceedings before the Appropriate Authority to substitute the Resulting Company with the Demerged Company. However, if the Resulting Company is unable to get the Demerged Company so substituted in such proceedings, the Resulting Company shall defend the same or deal with such demand in accordance with the advice of the Demerged Company and at the cost of the Demerged Company and the latter shall reimburse the Resulting Company, against all liabilities and obligations incurred by or against the Resulting Company, in respect thereof.

12. TAXES, DUTIES & CESS

12.1 If the Demerged Company is entitled to any unutilized credits (including accumulated losses and unabsorbed depreciation), advance tax, tax deduction at source, tax collection at source, benefits under the state or central fiscal / investment incentive schemes and policies or concessions relating to the Demerged Undertaking under any Tax Law or Applicable Law, the Resulting Company shall be entitled, as an integral part of this Scheme, to claim such benefit or incentives or unutilised credits, as the case may be, without any specific approval or permission and such benefit or incentives or unutilised credits, as the case may be, shall be available for utilisation to the Resulting Company in accordance with the Applicable Law.

12.2 Upon the Scheme becoming effective, the Demerged Company and the Resulting Company shall have the right to revise their respective financial statements and returns along with prescribed forms, filings and annexures under the Tax Laws and to claim refunds and/or credit for Taxes paid and for matters incidental thereto, if required, to give effect to the provisions of this Scheme. It is further clarified that the Resulting Company shall be entitled to claim deduction under Section 43B of the Income Tax Act in respect of unpaid liabilities transferred to it as part of the Demerged Undertaking to the extent not claimed by the Demerged Company, as and when the same are paid subsequent to the Appointed Date.

PART III

GENERAL TERMS & CONDITIONS

13. SAVING OF CONCLUDED TRANSACTIONS

Nothing in this Scheme shall affect any transaction or proceedings already concluded or liabilities incurred by the Demerged Company in relation to the Demerged Undertaking until the Effective Date to the end and intent that the Resulting Company shall accept and adopt all acts, deeds and things done and executed by the Demerged Company in relation to the Demerged Undertaking in respect thereto as done and executed on behalf of the Resulting Company.

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14. BUSINESS UNTIL EFFECTIVE DATE

14.1 With effect from the date of approval of the Scheme by the respective Boards of the Parties and up to and including the Effective Date:

14.1.1 The Demerged Company shall carry on the business of the Demerged Undertaking with reasonable diligence and business prudence and in the same manner as it had been doing hitherto; and

14.1.2 The Resulting Company shall be entitled, pending the sanction of this Scheme, to apply to the Appropriate Authorities concerned as necessary under Applicable Law for such consents, approvals and sanctions which the Resulting Company may require to carry on the relevant business that is being transferred and vested in terms of this Scheme.

14.2 The Demerged Company in relation to the Demerged Undertaking, with effect from the Appointed Date and up to and including the Effective Date:

14.2.1 shall be deemed to have been carrying on and shall carry on its businesses and activities and shall hold and stand possessed of the assets for and on account of, and in trust for the Resulting Company;

14.2.2 all profits or income arising or accruing to the Demerged Company in relation to the Demerged Undertaking and all Taxes paid thereon (including but not limited to advance tax, tax deducted at source, minimum alternate tax, dividend distribution tax, securities transaction tax, Taxes withheld/paid in a foreign country, etc.) or losses arising or incurred by the Demerged Company shall, be treated as and deemed to be the profits or income, taxes or losses of the Resulting Company, as the case may be; and

14.2.3 all loans raised and all liabilities and obligations incurred by the Demerged Company in relation to the Demerged Undertaking after the Appointed Date and prior to the Effective Date, shall, subject to the terms of this Scheme, be deemed to have been raised, used or incurred for and on behalf of the Resulting Company, respectively in which it shall vest in terms of this Scheme and to the extent they are outstanding on the Effective Date, shall also, without any further act, instrument or deed be and be deemed to become the debts, liabilities, duties and obligations of the Resulting Company, as the case maybe.

15. FACILITATION PROVISIONS

15.1 For demerger of the Demerged Undertaking, the Demerged Company is permitted to align its businesses with that of the Resulting Company and remeasure its assets and/or liabilities, the effect of which shall be adjusted against the retained earnings of the Demerged Undertaking.

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15.2 The treatment effected in the books of the Demerged Company pursuant to the Scheme shall *mutatis mutandis* be reflected in the consolidated financial statements of the Resulting Company as per the requirement of section 129 of the Act.

15.3 If any convertible debt instruments issued by the Demerged Company are transferred as part of the Demerged Undertaking, and if the holder of the aforesaid instrument is a subsidiary of the Resulting Company, then the aforesaid convertible debt instruments shall cease to be convertible and shall be recorded as debt in the books of the Resulting Company. The Resulting Company shall at its option offset/ adjust all or part of the aforesaid debt against any receivable/ investment by the Resulting Company from such subsidiary.

16. PROPERTY IN TRUST

Notwithstanding anything contained in this Scheme, on or after the Effective Date, until any property, asset, license, approval, permission, contract, agreement and rights and benefits arising therefrom pertaining to the Demerged Company in relation to the Demerged Undertaking is transferred, vested, recorded, effected and/ or perfected, in the records of any Appropriate Authority, regulatory bodies or otherwise, in favour of the Resulting Company, the Resulting Company is deemed to be authorized to enjoy the property, asset or the rights and benefits arising from the license, approval, permission, contract or agreement as if it were the owner of the property or asset or as if it were the original party to the license, approval, permission, contract or agreement. It is clarified that till entry is made in the records of the Appropriate Authorities and till such time as may be mutually agreed by the Parties, the Demerged Company will continue to hold the property and/or the asset, license, permission, approval, contract or agreement and rights and benefits arising therefrom, in trust for and on behalf of the Resulting Company.

17. APPLICATIONS/ PETITIONS TO THE TRIBUNAL

The Parties shall make and file all applications and petitions under Sections 230 to 232 and other applicable provisions of the Act before the Tribunal, for sanction of this Scheme under the provisions of the Act.

18. MODIFICATION OR AMENDMENTS TO THIS SCHEME

18.1 The Board of the Parties acting jointly may make any modifications or amendments to this Scheme at any time and for any reason whatsoever, or which may otherwise be considered necessary, desirable or appropriate. Any modification or amendment to the Scheme by the Board of the Parties pursuant to this Clause 18.1 shall not require any further approval/ consent from the shareholders and/ or creditors if the shareholders/ creditors have already approved/ consented to the Scheme. The Board of the Parties may consent to any conditions or limitations that the Tribunal or any other Appropriate Authority may impose.

18.2 For the purposes of giving effect to this Scheme, the Board of either of the Parties may give such directions including directions for settling any question or difficulty that may

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arise and such directions shall be binding as if the same were specifically incorporated in this Scheme and duly approved by the Tribunal.

19. WITHDRAWAL OF THIS SCHEME

The Board of the Parties acting jointly shall be at liberty to withdraw the Scheme, any time before the Scheme is effective.

20. COSTS AND EXPENSES

All costs, charges and expenses (including, but not limited to, any taxes and duties, registration charges, etc.) of the Parties, respectively in relation to carrying out, implementing and completing the terms and provisions of this Scheme and/ or incidental to the completion of this Scheme shall be paid by the Resulting Company.

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Reliance
Projects & Property Management Services Limited

C.P.(CAA)/21(AHM)2023

IN

C.A.(CAA)/34(AHM)/2023

Name of the Demerged Company	Reliance Projects & Property Management Services Limited
Corporate Identification Number (CIN)	U72501GJ2019PLC108755
Registered Office	Office-101, Saffron, Nr Centre Point Panchwati 5 Rasta, Ambawadi, Ahmedabad – 380006

SCHEDULE OF ASSETS PERTAINING TO THE DEMERGED UNDERTAKING (AS DEFINED IN THE SCHEME) AS ON CLOSE OF BUSINESS HOURS OF DECEMER 31, 2022 (APPOINTED DATE) INCLUDES THE FOLLOWING

Assets	• all properties and assets of the Demerged Company, including all movable or immovable, freehold, leasehold or licensed, tenancy rights, hire purchase and lease arrangements, real or personal, corporeal or incorporeal or otherwise, present, future, contingent, tangible or intangible, but not limited to plant and machinery, capital work in progress, furniture, fixtures, office equipment, appliances, accessories, vehicles, all stocks, sundry debtors, deposits, provisions, advances, recoverables, receivables, title, interest, cash and bank balances, bills of exchange, covenants, all earnest monies, security deposits, or other entitlements, funds, powers, authorities, licences, registrations, quotas, allotments, consents, privileges, liberties, advantages,

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	easements and all the rights, title, interests, goodwill, benefits, fiscal incentives, entitlement and advantages, contingent rights or benefits belonging to or in the ownership, power, possession or the control of or vested in or granted in favor of or held for the benefit of or enjoyed by the Demerged Company with respect to the Digital EPC & Infrastructure Business (as defined in the Scheme) • all contracts, agreements, schemes, arrangements and any other instruments for the purpose of carrying on the business of the Digital EPC & Infrastructure Business • all Permits (as defined in the Scheme), licences, approvals, registrations, quotas, incentives, powers, authorities, allotments, consents, rights, benefits, advantages, municipal permissions, pertaining to the Digital EPC & Infrastructure Business • entire experience, credentials, past record and market share of the Demerged Company pertaining to the Digital EPC & Infrastructure Business • all books, records, files, papers, engineering and process information, computer programs, software licenses (whether proprietary or otherwise), drawings, manuals, data, catalogues, quotations, sales and advertising materials, lists of present and former customers and suppliers, customer credit information, customer pricing information, and other records whether in physical or electronic

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	form in connection with or relating to the Digital EPC & Infrastructure Business
Tax Credits	• all tax credits, refunds, reimbursements, claims, concessions, exemptions, benefits under Tax Laws (as defined in the Scheme) including sales tax deferrals advance taxes, tax deducted/ collected at source, right to carry forward and set-off accumulated losses and unabsorbed depreciation, if any, deferred tax assets, minimum alternate tax credit, goods and service tax credit, deductions and benefits under the Income Tax Act (as defined in the Scheme) or any other Taxation (as defined in the Scheme) statute or Applicable Law (as defined in the Scheme) enjoyed by the Demerged Company with respect to the Digital EPC & Infrastructure Business

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